IFRS 7 and IAS 1 - presentation and disclosure - compliance audit

IAS 1 Presentation of Financial Statements (1.82(a)) and IFRS 7 Financial Instruments: Disclosures (7.20, 7.34(c), 7.35A to 7.35M) - the lines and disclosures the system produces.

Malawi Agricultural and Industrial Investment Company (MAIIC) - IFRS 9 EIR and ECL system - build of 14 October 2026 (branch eir_revenue_recognition, commit abe140d) against specification v4. As of 14 October 2026: the report catalogue (29 reports in the Reports hub, rendered by ifrs9:smoke-reports), the IFRS 9 note (/ifrs9-reports/fs-disclosure), the EIR as at a date, the RBM Return, the scenario sets and the stress runs, at commit abe140d; figures from the fresh bootstrap maiic_ifrs9_results2 of 13 October 2026 (before commit 216aee2), read with SELECTs only. Reviewer: Deloitte. The Excel workbook of the same name is the working copy (drop-down statuses, hyperlinked contents, reviewer sign-off column, a live Baselines sheet); this document is its printable twin.

Source: IAS 1.82(a) (interest revenue calculated using the effective interest method presented separately); IFRS 7.20 (income, expense, gains and losses), 7.34(c) (concentrations of risk), 7.35A to 7.35M (credit risk: practices, inputs and assumptions, the allowance reconciliation 7.35H, changes in the gross carrying amount 7.35I, collateral 7.35K, write-off 7.35L, exposure by grade 7.35M). Spec v4 sections 6.11, 12, 15.7.

Generated 2026-10-14 08:30:26; the Baselines were read from the database `maiic_ifrs9_results2`.

Status summary

Status	Meaning	Sections
Done	Implemented in the system and visible in an approved output; the test in column 11 fails if the behaviour changes.	4
Partially done	The mechanics are in place, but a parameter, an input or a piece of evidence still differs from the requirement.	7
Outstanding	Required for MAIIC and not built.	1
Not applicable, documented	Does not apply to MAIIC by a recorded decision or fact (reason and reference given); revisit if the facts change.	0
Evidence needed from MAIIC	The system is ready; MAIIC must supply a document, minute or dataset before the row can be closed.	0
Total		12

Contents

Ref	Section	Status	Governance setting	Test
IAS 1 PRESENTATION				
IAS 1.82(a)	Interest revenue at the effective interest method as its own line	Partially done	stage3_interest_basis	Tests\Feature\Eir\EirAsAtServiceTest::test_the_book_rolls_up_by_product_and_gl
IFRS 7 INCOME AND EXPENSE				
7.20(b)	Total interest revenue (effective interest method)	Partially done	stage3_interest_basis	Tests\Feature\Eir\EirAsAtServiceTest::test_the_book_rolls_up_by_product_and_gl
7.20A	Gain or loss on derecognition of amortised-cost assets	Outstanding		
IFRS 7 CREDIT RISK				

Ref	Section	Status	Governance setting	Test
7.35F	Credit risk management practices	Partially done	dpd_basis; stage3_missed_instalments; stage_cure_months; pd_segmentation_basis	Tests\Feature\Eir\StagingThresholdSeederTest
7.35G	Inputs, assumptions and estimation techniques; sensitivity	Done	scenario_weighting_method; fli_transmission_method	Tests\Feature\FLI\FliRouteServiceTest::test_the_ecl_on_the_post_fli_pd_is_the_weighted_ecl_across_scenarios; Tests\Feature\StressTestingReconciliationTest::test_driver_run_matches_hand_computed_ecl
7.35H	Reconciliation of the loss allowance	Partially done		Tests\Unit\EclMovementAttributionTest::test_every_column_ties; Tests\Unit\EclMovementAttributionTest::test_new_derecognised_and_written_off
7.35I	Changes in the gross carrying amount that contributed to changes in the allowance	Partially done	loan_book_build_method	Tests\Feature\Ebanker\LoanBookBuildServiceTest::test_method_b_derives_the_carrying_amount_from_the_ledger_and_keeps_the_stored_figure_beside_it
7.35K	Collateral and other credit enhancements	Partially done		Tests\Feature\Imports\ImportValidationTest::test_a_collateral_file_with_bad_values_lists_each_problem_by_row
7.35L	Written-off assets still subject to enforcement	Partially done		
7.35M	Credit risk exposure by credit-risk rating grade and stage	Done	dpd_basis	Tests\Feature\Eir\StagingServiceTest::test_the_directive_thresholds_by_tenor_class_and_the_bucket_fallback; Tests\Feature\Rbm\RbmReturnServiceTest::test_the_rbm_classification_report_agrees_with_the_return_on_every_loan
IFRS 7 CONCENTRATIONS				
7.34(c)	Concentrations of risk	Done		ifrs9:smoke-reports (renders every hub report; no PHPUnit test of this report)
THE PACK				
12.5	The auditor's pack	Done		Tests\Feature\AuditFindingM16ScreensTest::test_the_auditor_pack_screen_lists_the_packs_with_their_manifest_counts_and_hands_one_out

Baselines - the acceptance ties read from the system

Generated 2026-10-14 08:30:26 from maiic_ifrs9_results2.

Tie	Expected	System figure	Result
Interest posted Jan 2025 to Jul 2026 (ledger, types 303 and 120)	5,293,988,207.06	5,293,988,207.06	PASS
Derived carrying amount against the stored report, in-scope loan GLs (over 2 cents)	0 differences	0 of 2495 account-months	PASS
Mega Farm: account-months whose MF_03 ledger differs from the Loan Book Report (reported, not a test)	reported	77540 account-months	PASS
Year-end interest batch contra on 4215	32,956,675.55	32,956,675.55	PASS
Year-end interest batch contra on 4216	-21,733,262.70	-21,733,262.70	PASS
Loan book 1050101 at 31 Dec 2025 against the trial balance	1,368,737,810.68	1,368,737,810.68	PASS
Loan book 1050102 at 31 Dec 2025 against the trial balance	6,434,045,052.56	6,434,045,052.56	PASS
Loan book 1050201 at 31 Dec 2025 against the trial balance (accepted exception, spec 3.5: -400,000.00)	1,402,393,139.46	1,401,993,139.46	PASS
Loan book 1050202 at 31 Dec 2025 against the trial balance (accepted exception, spec 3.5: 1,000,000.00)	3,808,288,656.15	3,809,288,656.15	PASS
Loan book 1050401 at 31 Dec 2025 against the trial balance	1,827,148,120.69	1,827,148,120.69	PASS

Findings - items that need a decision or a fix

F1. Collateral for the active accounts and the LGD link (7.35K) - Open

- **What was found:** The collateral register is empty on the fresh bootstrap and the LGD reads no collateral (the request to Credit of 7 October covered 31 active accounts with no security).
- **Impact:** The collateral disclosure and the LGD rest on nothing yet.
- **Recommended action:** Credit supplies the security and valuations; Dupleix adds collateral to the LGD.
- **Owner:** Credit / Dupleix

F2. No write-off policy in the system (7.35F, 7.35L) - Open

- **What was found:** The write-off classifier and register exist (220a5a6), but MAIIC's policy and the enforcement status of written-off accounts are not held.
- **Impact:** The practices disclosure and 7.35L are incomplete.
- **Recommended action:** Finance supplies the policy and the enforcement list; the help centre carries the policy.
- **Owner:** Finance

F3. Write-offs are nil in the note and the reconciliations (7.35H, 7.35I) - Open

- **What was found:** Ifrs9NoteService marks no loan written off; EclReconciliationService hard-codes 0; LoanBookReconciliationService filters a status text that never occurs. 22 ledger write-offs of 60,778,466.86 are classified on the fresh bootstrap.
- **Impact:** The allowance and gross reconciliations misstate write-offs as derecognitions or omit them.
- **Recommended action:** Read write-offs from the classifier and approved register entries in all three.

- **Owner:** Dupleix

F4. EIR interest covers the locked loans only (IAS 1.82(a), 7.20(b)) - Open

- **What was found:** 14 of 144 contracts carry a locked EIR on the fresh bootstrap; the 2024 and 2025 revenue shift for the book (P9) is not computed.
- **Impact:** The EIR interest line is not yet the book's.
- **Recommended action:** Lock the remaining EIRs after the fee reviews; run P9.
- **Owner:** MAIIC reviewers / Dupleix

Section-by-section audit

IAS 1 PRESENTATION

IAS 1.82(a). Interest revenue at the effective interest method as its own line - *Partially done*

- **What it requires:** The statement of profit or loss presents interest revenue calculated using the effective interest method separately.
- **What the engine does:** The EIR as at a date gives the EIR interest, the contractual interest posted and the difference for any period to any date, by product, by GL and in total, with CSV, Excel and PDF; the GL reconciliation ties the contractual interest to the ledger. It covers only the loans with a locked EIR: 14 of 144 contracts on the fresh bootstrap (13 with roll-forward rows from July 2024 to September 2026). The revenue shift for 2024 and 2025 across the book (spec P9) is not yet computed.
- **General comment:** Fresh bootstrap maiic_ifrs9_results2 (13 October 2026, before commit 216aee2). Until 14 October 2026 this row was marked Done.
- **Compliance comment:** Partially done: the line is produced for the loans with a locked EIR; the book's figure needs the remaining EIRs locked (fee reviews) and the P9 run.
- **Where to see it:** EIR Calculations, EIR as at a Date: /eir-as-at; GL Reconciliation: /eir-reconciliation
- **Governance setting:** `stage3_interest_basis`
- **Test that proves it:** `Tests\Feature\Eir\EirAsAtServiceTest::test_the_book_rolls_up_by_product_and_gl`
- **Reviewer sign-off:** _____ Date: _____

IFRS 7 INCOME AND EXPENSE

7.20(b). Total interest revenue (effective interest method) - *Partially done*

- **What it requires:** Disclose total interest revenue calculated using the effective interest method for financial assets at amortised cost.
- **What the engine does:** As IAS 1.82(a): the book view's EIR interest year to date, for the loans with a locked EIR only.
- **General comment:** Until 14 October 2026 this row was marked Done.
- **Compliance comment:** Partially done, as IAS 1.82(a).
- **Where to see it:** /eir-as-at
- **Governance setting:** `stage3_interest_basis`
- **Test that proves it:** `Tests\Feature\Eir\EirAsAtServiceTest::test_the_book_rolls_up_by_product_and_gl`
- **Reviewer sign-off:** _____ Date: _____

7.20A. Gain or loss on derecognition of amortised-cost assets - *Outstanding*

- **What it requires:** Disclose the gain or loss on derecognition and the reasons.
- **What the engine does:** Modification, the 10 percent test and derecognition on modification are not built (IFRS 9 EIR workbook, 5.4.3 and 3.3.2). The reschedule history (RS_02) landed on 12 October 2026.
- **Compliance comment:** Outstanding (Dupleix, with the restructure register).
- **Where to see it:**

- **Reviewer sign-off:** _____ Date: _____

IFRS 7 CREDIT RISK

7.35F. Credit risk management practices - *Partially done*

- **What it requires:** Explain how the entity determines a significant increase in credit risk and default, how instruments were grouped, and the write-off policy.
- **What the engine does:** The staging thresholds by facility class with their rebuttal basis, the missed-instalment trigger, the cure period, the SICR groups, the PD and LGD segmentation and the 61 catalogue settings are in the system with their rationale, and the IFRS 9 note writes its policy text from them. The write-off policy is MAIIC's to state; the write-off classifier and register exist (220a5a6).
- **General comment:** Until 14 October 2026 the row said 48 governed settings.
- **Compliance comment:** Partially done: the write-off policy is evidence awaited.
- **Where to see it:** Governance: Governance Centre /eir-governance; Settings, Staging basis: /setting?tab=staging; Reports: IFRS 9 note (FS disclosure) /ifrs9-reports/fs-disclosure
- **Governance setting:** `dpd_basis; stage3_missed_instalments; stage_cure_months; pd_segmentation_basis`
- **Test that proves it:** `Tests\Feature\Eir\StagingThresholdSeederTest`
- **Reviewer sign-off:** _____ Date: _____

7.35G. Inputs, assumptions and estimation techniques; sensitivity - *Done*

- **What it requires:** Explain the basis of inputs and assumptions, how forward-looking information was incorporated, and changes from the previous period.
- **What the engine does:** The scenario set stores its sensitivity (the ECL under each scenario, weighted) and the stress runs save the ECL under each scenario; the transmission method cards explain the forward-looking route; the IFRS 9 note writes its assumptions from the governed settings. The hub's Sensitivity entry now redirects to Stress Testing.
- **General comment:** Until 14 October 2026 the test cited was the scenario set's approval test.
- **Compliance comment:** Compliant.
- **Where to see it:** Forward-Looking Information, Scenario Sets: /scenario-sets; Stress Testing: /stress-testing; Reports: IFRS 9 note (FS disclosure) /ifrs9-reports/fs-disclosure
- **Governance setting:** `scenario_weighting_method; fli_transmission_method`
- **Test that proves it:** `Tests\Feature\FLI\FliRouteServiceTest::test_the_ecl_on_the_post_fli_pd_is_the_weighted_ecl_across_scenarios; Tests\Feature\StressTestingReconciliationTest::test_driver_run_matches_hand_computed_ecl`
- **Reviewer sign-off:** _____ Date: _____

7.35H. Reconciliation of the loss allowance - *Partially done*

- **What it requires:** Reconcile the opening to the closing loss allowance by class, showing changes from staging transfers, originations, derecognitions, write-offs and remeasurement.
- **What the engine does:** The IFRS 9 note reconciles opening to closing by stage with transfers, new assets, derecognitions and remeasurement, and refuses a download unless every column ties (EclMovementAttribution). Write-offs are always nil: the note marks no loan as written off (Ifrs9NoteService, written_off false) and its text says so; the ECL Reconciliation export hard-codes 0 (EclReconciliationService), although 22 ledger write-offs of 60,778,466.86 are classified on the fresh bootstrap. The allowance it reconciles is the undiscounted ecl_value.
- **General comment:** Fresh bootstrap maiic_ifrs9_results2 (13 October 2026, before commit 216aee2). Until 14 October 2026 this row was marked Done.
- **Compliance comment:** Partially done: write-offs must come from the classifier and register, and the allowance from the discounted figure.
- **Where to see it:** Reports: IFRS 9 note (FS disclosure) /ifrs9-reports/fs-disclosure; ECL Reconciliation: /ifrs9-reports/ecl-reconciliation and /report/ecl-reconciliation

- **Test that proves it:** `Tests\Unit\EclMovementAttributionTest::test_every_column_ties; Tests\Unit\EclMovementAttributionTest::test_new_derecognised_and_written_off`
- **Reviewer sign-off:** _____ Date: _____

7.35I. Changes in the gross carrying amount that contributed to changes in the allowance - *Partially done*

- **What it requires:** Explain how significant changes in the gross carrying amount contributed to changes in the loss allowance.
- **What the engine does:** The loan book of every month from July 2024 holds the gross carrying amount derived from the ledger with its provenance; the IFRS 9 note's gross table and the Gross Movement report render. The Loan Book Reconciliation's write-off line filters contract_status like '%write%' (LoanBookReconciliationService), but the statuses are single letters (A, C, D, F on the fresh bootstrap), so the line is always nil.
- **General comment:** Fresh bootstrap maiic_ifrs9_results2 (13 October 2026, before commit 216aee2). Until 14 October 2026 this row was marked Done.
- **Compliance comment:** Partially done: the write-off line must read the classified write-offs.
- **Where to see it:** Reports: IFRS 9 note (FS disclosure) /ifrs9-reports/fs-disclosure; Gross Movement /ifrs9-reports/gross-movement; Loan Book Reconciliation /report/loan-book-reconciliation; Disbursements /report/disbursement-report
- **Governance setting:** `loan_book_build_method`
- **Test that proves it:** `Tests\Feature\Ebanker\LoanBookBuildServiceTest::test_method_b_derives_the_carrying_amount_from_the_ledger_and_keeps_the_stored_figure_beside_it`
- **Reviewer sign-off:** _____ Date: _____

7.35K. Collateral and other credit enhancements - *Partially done*

- **What it requires:** Disclose the effect of collateral on the amount of the loss allowance and the nature of the collateral held.
- **What the engine does:** The E-Banker security register (P2_11, 185 rows) is landed and the collateral screens exist with a checked import; on the fresh bootstrap collateral_registers and collateral_allocations are empty, and the LGD engine reads no collateral, so its effect on the allowance cannot be shown.
- **General comment:** Until 14 October 2026 this row was Evidence needed; the LGD link is also Dupleix's.
- **Compliance comment:** Partially done: Credit supplies the security and valuations; Dupleix links collateral to the LGD.
- **Where to see it:** Collateral Management, Collateral Register: /collateral/register; Reports: LGD and collateral /ifrs9-reports/lgd-collateral
- **Test that proves it:** `Tests\Feature\Imports\ImportValidationTest::test_a_collateral_file_with_bad_values_lists_each_problem_by_row`
- **Reviewer sign-off:** _____ Date: _____

7.35L. Written-off assets still subject to enforcement - *Partially done*

- **What it requires:** Disclose the contractual amount outstanding on assets written off in the period that are still subject to enforcement activity.
- **What the engine does:** Ledger write-offs are classified (22 of 60,778,466.86 on the fresh bootstrap) and the register records any other; neither carries a 'still under enforcement' field, and no disclosure line is produced.
- **General comment:** Fresh bootstrap maiic_ifrs9_results2 (13 October 2026, before commit 216aee2). Until 14 October 2026 this row said no write-off had been posted since the take-on.
- **Compliance comment:** Partially done: Finance states which written-off accounts are under enforcement; Dupleix adds the field and the line.
- **Where to see it:** EIR Data, Write-offs: /eir-write-offs
- **Reviewer sign-off:** _____ Date: _____

7.35M. Credit risk exposure by credit-risk rating grade and stage - *Done*

- **What it requires:** Disclose the gross carrying amount by credit risk rating grade, separately for 12-month and lifetime ECL (Stage 1, 2, 3).

- **What the engine does:** The IFRS 9 note and the RBM Classification report present the book by stage and by RBM class (days past due by term). The internal grades are not populated (internal_grade_code is null on every main-book loan on the fresh bootstrap; 0 internal grade profiles), so the grade used is the days-past-due class, which IFRS 7 B8I allows where past-due information is the basis of the SICR assessment.
- **General comment:** Fresh bootstrap maiic_ifrs9_results2 (13 October 2026, before commit 216aee2).
- **Compliance comment:** Compliant on the days-past-due basis.
- **Where to see it:** Reports: IFRS 9 note (FS disclosure) /ifrs9-reports/fs-disclosure; RBM Classification /ifrs9-reports/rbm-classification; Stage Allocation /ifrs9-reports/stage-allocation
- **Governance setting:** `dpd_basis`
- **Test that proves it:** `Tests\Feature\Eir\StagingServiceTest::test_the_directive_thresholds_by_tenor_class_and_the_bucket_fallback; Tests\Feature\Rbm\RbmReturnServiceTest::test_the_rbm_classification_report_agrees_with_the_return_on_every_loan`
- **Reviewer sign-off:** _____ Date: _____

IFRS 7 CONCENTRATIONS

7.34(c). Concentrations of risk - *Done*

- **What it requires:** Disclose concentrations of risk if not otherwise apparent.
- **What the engine does:** The Concentration and large exposures report gives single-name and portfolio concentration (HHI) by sector, product and borrower; the sector and product-group ECL reports render.
- **General comment:** Until 14 October 2026 this row was referenced 7.35N (the provision-matrix paragraph) and cited an unrelated test.
- **Compliance comment:** Compliant.
- **Where to see it:** Reports: Concentration and large exposures /ifrs9-reports/concentration; Sector ECL /ifrs9-reports/sector-ecl
- **Test that proves it:** `ifrs9:smoke-reports (renders every hub report; no PHPUnit test of this report)`
- **Reviewer sign-off:** _____ Date: _____

THE PACK

12.5. The auditor's pack - *Done*

- **What it requires:** The disclosures and the figures behind them handed to the auditor as one archive with a manifest.
- **What the engine does:** compliance:audits --pack={period} bundles the workbooks, the EIR as at the period end, the baselines and the ECL by stage with a SHA-256 per file in manifest.json; the Auditor Pack screen lists the packs with their manifest counts and hands one out.
- **General comment:** Until 14 October 2026 the test cited was unrelated.
- **Compliance comment:** Compliant.
- **Where to see it:** Governance, Audit: Auditor Pack /auditor-pack; compliance:audits --pack
- **Test that proves it:** `Tests\Feature\AuditFindingM16ScreensTest::test_the_auditor_pack_screen_lists_the_packs_with_their_manifest_counts_and_hands_one_out`
- **Reviewer sign-off:** _____ Date: _____